The History of Fintech II

MGT 4074, Fall 2025

Joseph Hall

Georgia Institute of Technology

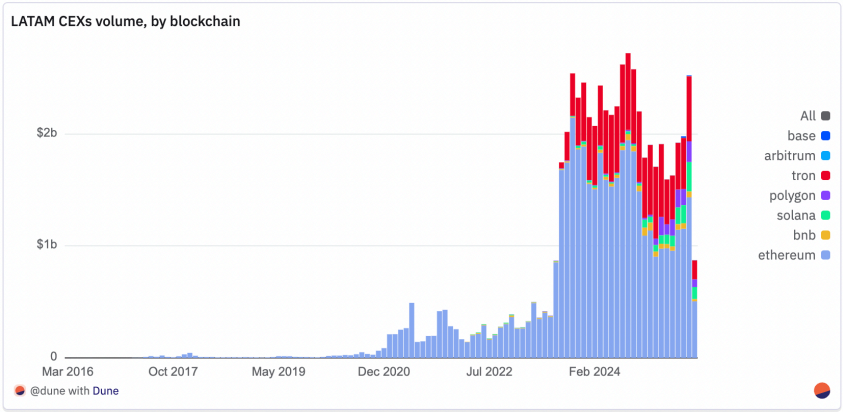
Wednesday, August 20, 2025

Roadmap

- Guided Discussion on Readings I
- In The News: Dune 2025 report on Crypto in LATAM
- History of Financial Technology
  - What is Money, Cont.
  - What is Credit?

In the News

Dune 2025 Latin American Crypto report:



Source: https://dune.com/blog/latam-crypto-2025-report

In the News

Key use cases driving LATAM crypto adoption in selected countries:

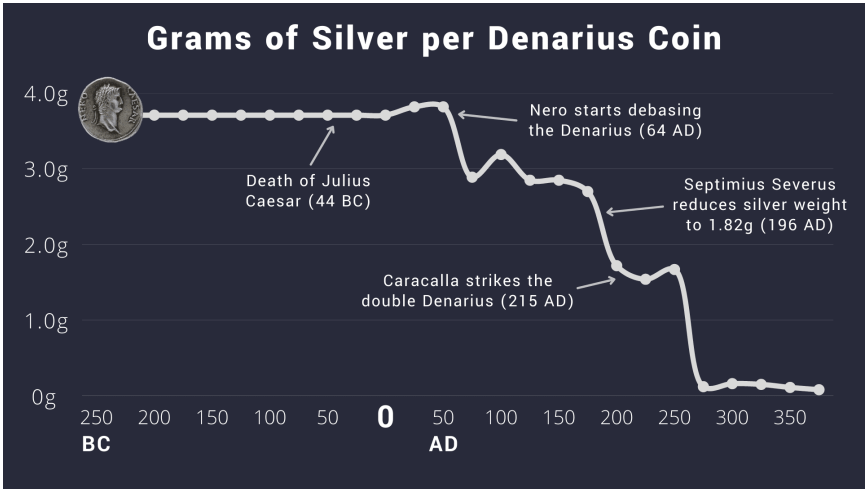
- Speculative retail investment in Brazil
- Remittances from U.S. to Mexico
- Hedging inflation in Venezuela and Argentina

Guided Discussion: What Causes Inflation?

Q: What is "**Debasement**"?

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  - A government which fails at fiscal policy can "*monetize the deficit*" (what does that mean?)

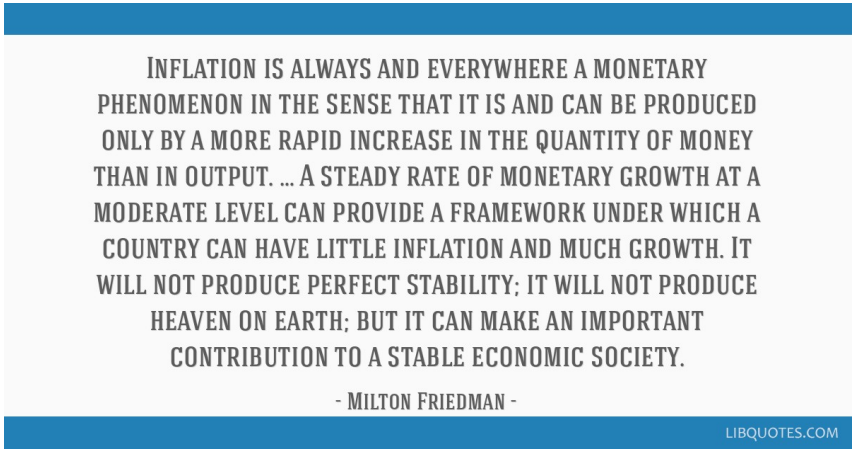
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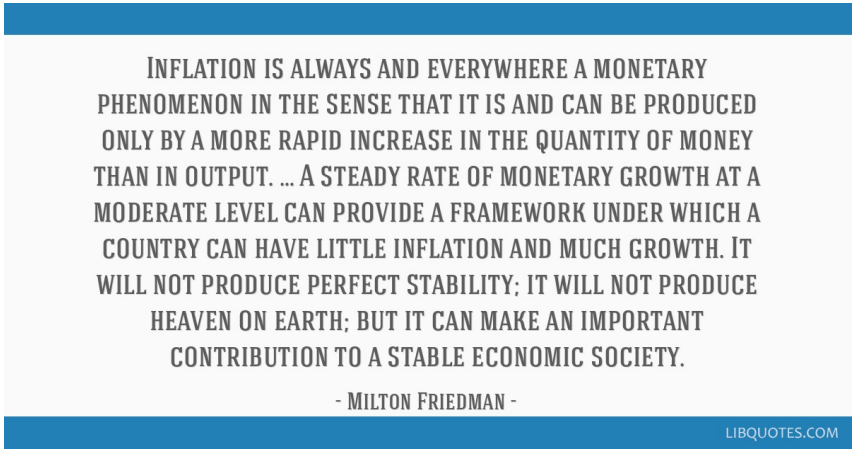
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  - A government can fill a fiscal gap (spending exceeds taxation; **and** the market will buy no more debt) using *seignorage*
  - This is economically equivalent to secretly siphoning off (taxing) a portion of the value of every currency unit that has been previously minted

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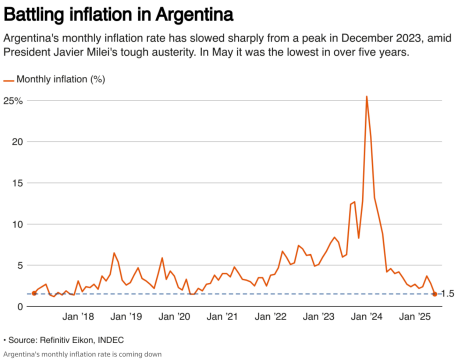


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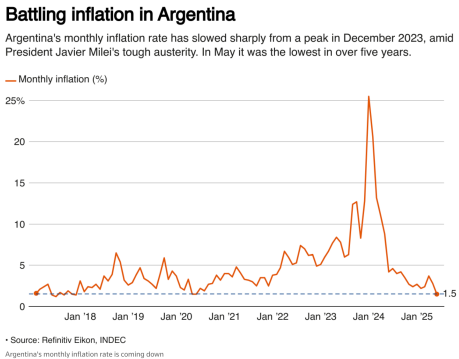
Cochrane: A monetary problem, sure, but one with a fiscal origin

Inflation in Argentina



Q: What does "**tough austerity**" mean?

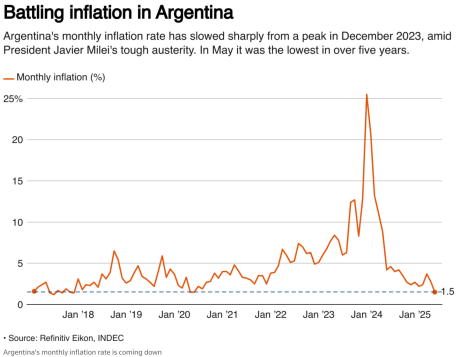
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A: A reduction in government spending, in this case firing 10% of government workforce and slashing (existing, promised) pensions by 20% ("fiscal policy")

Javier Millei



"If printing money would end poverty, printing diplomas would end stupidity."

Roadmap

- What is Money, Cont.
- What is Credit?

Features of a currency which may or may not be desirable

- **Privacy**: Can the government (or other private actors) track movement?
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  - India retired 86% of paper currency in 2016 to fight crime
- **Interest**: Fed pays interest on U.S. bank reserves
  - The government surrenders some *seignorage* revenue in order to have high-frequency control over monetary policy (setting the economy-wide short-term interest rate)
  - 2025 GENIUS act prohibits interest on stablecoins: deposit-taking banks are protected from competition

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What is Credit?

Credit is an investment contract. It can take many forms:

- A contractually-specified set of future cash flows (called **coupons**) – this is called a **bond**, or **debt**
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Credit and money are not mutually exclusive! If the promised cash flows of a credit contract are **safe** and **tradable**

- Modern banks keep their money as Federal Bank Reserves, a form of credit which is treated as money
- Credit has a hard time being *fungible*: it has an important function as a market prices of risk and time. That is at odds with the monetary goal of price stability which requires the contract be **safe**.

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In other words, credit is "Man's Confidence in Man". (The name of specific piece of artwork, not an endorsement of sexism)

Man's Confidence in Man



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"Commercial credit is the creation of modern times and belongs in its highest perfection only to the most enlightened and best governed nations. Credit is the vital air of the system of modern commerce. It has done more – a thousand times more – to enrich nations than all the mines of the world."

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Q: What is Webster arguing, in the language of money and credit?
A: Increasing the money supply by means of mining specie does not create economic growth. Rather, growth is created by the fulfillment of investment contracts – hence "commercial credit" creates more value than "all the mines of the world"

Man's Confidence in Man



Joseph Hall at Harvard Business School's Baker Library, 2019

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- **Screening**: a process to determine to whom to offer contracts
- **Collections**: a process to enforce the contract

The Oldest Financial Technology for Enforcing Investment Contracts



Can Contracts be Enforced Without Strong Governments?

About 590 million Africans live off the grid. Most of them rely on flame-based lamps powered by fossil fuels like kerosene. The light from these lamps is dim and comes with significant health and financial costs. A kerosene lamp may cost less than $5, but fuel averages about $57 per year. Sub-Saharan Africans burn up about $10 billion annually on kerosene, and worldwide, kerosene costs people without electricity $36 billion.

—Study by the International Finance Corporation (World Bank)

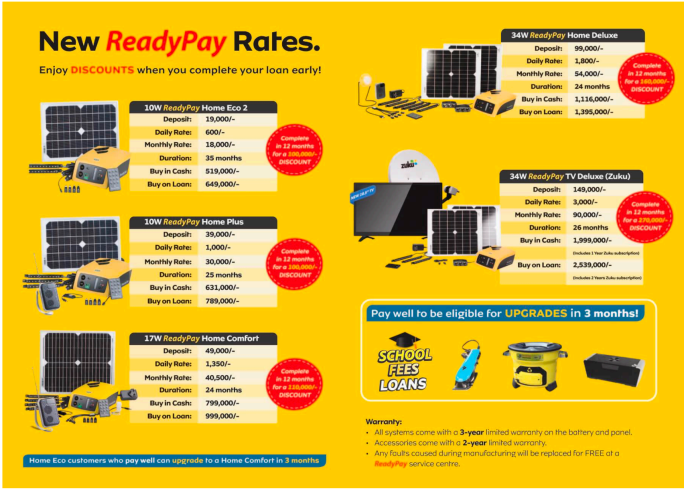
A Hugely Profitable Investment ... If You Can Enforce It



A $30 solar lantern pays for itself in 8-10 weeks

Source: https://www.brettgreen.info/publications

Rent-to-Own Model with “Digital Collateral”



- Key Technology: Product is **remotely deactivated** if loan is defaulted

This Class

In this class, we will cover:

- *Why* the traditional finance industry is designed and regulated the way it is
- *What* new financial technologies have recently become possible
- *How* the traditional financial industry is adapting to these changes